

September 30, 2026

Five-Star Business Finance Limited: Rating actions for PTCs issued under two small business loan securitisation transactions

Summary of rating action

Trust name	Instrument*	Initial rated amount (Rs. crore)	Amount O/s after last surveillance exercise (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial sector regulator#
Dhruva XXII	PTC Series A1	200.00	151.37	100.63	[ICRA]AAA(SO); reaffirmed	RBI\$
Dhruva XXIII	PTC Series A1	90.00	40.66	0.00	[ICRA]AAA(SO); withdrawn	RBI\$
	PTC Series A2	60.00	54.52	39.21	[ICRA]AAA(SO); reaffirmed	RBI\$

*Instrument details are provided in Annexure I

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

\$ By virtue of the instrument being listed, SEBI acts as the regulator for listing and related issues.

Rationale

The pass-through certificates (PTCs) are backed by two pools backed by receivables from small business loans originated by Five-Star Business Finance Limited (FSBFL/Originator; rated [ICRA]AA-(Stable)¹). FSBFL is the servicer for the transactions.

The rating action for Dhruva XXII and PTC Series A2 for Dhruva XXIII factors in the transactions factor in the build-up of the credit enhancement and healthy pool performance. The aforesaid ratings also draw comfort from the fact that the breakeven collection efficiency is lower than the actual collection levels observed in the pool till the August 2026 payout month.

Also ICRA has withdrawn the rating for Pass through certificates (PTCs) Series A1 issued under small business loans receivables securitisation transaction named Dhruva XXIII originated by Five-Star Business Finance Limited (FSBFL/Originator). All the payouts to the investors in the above-mentioned instruments have been made and no further payments are due to the investors.

The key rating drivers, liquidity position, rating sensitivities have not been captured as the rating assigned to the PTC Series A1 issued by Dhruva XXIII as it has been withdrawn. The previous detailed rating rationale of the previous rating exercise for this instrument is available at the following link: [Click here](#)

Pool performance summary

Parameter	Dhruva XXII	Dhruva XXIII
Payout month	August 2026	August 2026
Months post securitisation	24	23
Pool amortisation	43.72%	53.51%
PTC Series A1 amortisation	49.68%	100.00%
PTC Series A2 amortisation	-	91.42%
Cumulative prepayment rate	23.23%	29.87%
Cumulative collection efficiency	97.18%	97.91%
Loss-cum-30+ days past due (dpd ² ; % of initial pool)	11.57%	8.43%
Loss-cum-90+ dpd ³ (% of initial pool)	2.67%	1.45%

¹ The current rating rationale of the originator, available at this [link](#), provides its detailed rating history and rating transitions

² Inclusive of unbilled and overdue principal portion of delinquent contracts overdue by more than 30 days, as a % of Initial pool principal

³ Inclusive of unbilled and overdue principal portion of delinquent contracts overdue by more than 90 days, as a % of Initial pool principal

Cumulative cash collateral utilisation	0.0%	0.0%
Breakeven collection efficiency (BECC) ⁴		
PTC Series A1	54.92%	0.00%
PTC Series A2	-	38.71%
Cash Collateral (CC) available (as % of balance pool principal)	8.88%	10.76%
Principal subordination (% of balance pool)		
PTC Series A1	21.32%	100.00%
PTC Series A2	-	50.53%
Excess interest spread (EIS ⁵ ; % of balance pool)		
PTC Series A1	37.57%	38.31%
PTC Series A2	-	38.31%

Transaction structure

Dhruva XXII

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of PTC Series A1 principal.

Dhruva XXIII

The promised cashflow schedule for PTC Series A1 and PTC Series A2 on a monthly basis will comprise interest (at the pre determined yield on pari-passu basis) on the outstanding PTC principal on each payout date and the entire principal on the final maturity date for both series of PTCs. On each payout date, after meeting the promised PTC Series A1 and PTC Series A2 interest payouts, the balance collections would be passed on to the PTCs basis the cashflow amortisation split i.e. 90% of prepayments, principal collections and overdue collections would be passed on to PTC Series A1 and the balance 10% to PTC Series A2. The monthly Excess Interest Spread ("EIS") shall be used for accelerated amortisation of PTC Series A1 and PTC Series A2 (on maturity of PTC Series A1) to the extent of 50% (Turbo EIS) and as per the cashflow amortisation split wherein 90% of Turbo EIS would be passed on to PTC Series A1 and balance 10% to PTC Series A2. Once PTC Series A1 is fully repaid, all prepayments, principal collections, overdue collections and Turbo EIS would be passed on to PTC Series A2. The balance monthly EIS would be passed on to the Originator.

Key rating drivers and their description

For Dhruva XXII and Dhruva XXIII for PTC Series A2

Credit strengths

Healthy pool performance – The performance of the Dhruva XXII pool has been healthy with a cumulative collection efficiency of above ~97% till the August 2026 payout month. This has resulted in low delinquencies with the 90+ days past due (dpd) at sub-2.8% for the pool. The performance of the Dhruva XXIII pool has also been healthy with a cumulative collection efficiency of above ~98% till the August 2026 payout month. This has resulted in low delinquencies with the 90+ days past due (dpd) at sub-1.5% for the pool. The breakeven collection efficiency is also low compared to the collection efficiency observed in both the pools.

Healthy build-up of credit enhancement – The rating factors in the build-up in the credit enhancement with the cash collateral and subordination increasing from the time of securitisation for the trusts. Further, there have been no instances of cash collateral utilisation till date owing to the strong collection performance and the presence of subordination and EIS in the transactions.

⁴ (Balance cash flows payable to PTC investor – CC available)/Balance pool cash flows

⁵ (Pool cash flows – Cash flows to PTC – Originator's residual share)/Pool principal outstanding

Contracts backed by self-occupied residential properties – The pools are backed by self-occupied residential properties. This is expected to support the quality of the pool as it has been observed that borrowers tend to prioritise repayments towards such loans even during financial stress.

Adequate servicing capability of the originator – The company has adequate processes for servicing of the loan accounts in the securitised pool. It has a demonstrated track record of over 5 years of regular collections and recovery and has expanded its presence to 11 states with over 856 branches.

Credit challenges

High geographical concentration – The balance pools have high geographical concentration with the top 3 states Tamil Nadu, Telangana and Andhra Pradesh, contributing more than 85% to the balance pool principal amount. The pools' performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc.

Risks associated with lending business – The pools' performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

For Dhruva XXIII for PTC Series A1

Credit strengths

Not applicable

Credit challenges

Not applicable

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

ICRA has estimated the shortfall in the pool principal collection during their tenure at 3.75% of the initial pool principal and 3.25% of the initial pool principal with certain variability around it for Dhruva XXII and Dhruva XXIII transactions respectively. The average prepayment rate for the pools is modelled in the range of 7% to 27% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transaction are as follows:

Transaction Name	Dhruva XXII	Dhruva XXIII
Originator	Five-Star Business Finance Limited	Five-Star Business Finance Limited
Servicer	Five-Star Business Finance Limited	Five-Star Business Finance Limited
Trustee	Catalyst Trusteeship Limited	Catalyst Trusteeship Limited
CC holding Bank	Axis Bank Limited	Axis Bank Limited
Collection and payout account Bank	Kotak Mahindra Bank Limited	ICICI Bank Limited

Liquidity position

For Dhruva XXII

Liquidity position: Superior for PTC Series A1

The liquidity for the PTC instruments is superior after factoring in the credit enhancement available to meet the promised payout to the investors. The total credit enhancement would be 7.00 times the estimated loss in the pool.

For Dhruva XXIII

Liquidity position: Not applicable for PTC Series A1 Superior for PTC Series A2

For Dhruva XXIII

Liquidity position: Superior for PTC Series A2

The liquidity for the PTC Series A2 is superior after factoring in the credit enhancement available to meet the promised payout to the investors. The total credit enhancement would be greater than 10 times the estimated loss in the pool.

Rating sensitivities

For Dhruva XXII and Dhruva XXIII for PTC Series A2

Positive factors – Not applicable

Negative factors – Sustained weak collection performance of the underlying pool of contracts, leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a ratings downgrade. Weakening in the credit profile of the servicer (Five-Star) could also exert pressure on the ratings.

For Dhruva XXIII for PTC Series A1

Positive factors – Not applicable

Negative factors – Not applicable

Analytical approach

The rating action is based on the performance of the pools till August 2026 (payout month), the present delinquency levels and the credit enhancement available in the pools, and the performance expected over the balance tenure of the pools.

Analytical Approach	Comments
Applicable rating methodologies	Rating Methodology for Securitisation Transactions ICRA's Policy on Withdrawal of Credit Ratings
Parent/Group support	Not Applicable
Consolidation/Standalone	Not Applicable

About the Originator

Five-Star Business Finance Limited (FSBFL) is a Chennai-headquartered non-banking financial company (NBFC) extending secured loans to micro entrepreneurs and self-employed individuals, primarily in semi-urban markets. The company commenced operations in 1984, with a focus on consumer loans and vehicle finance. In 2005, it shifted its focus to small business loans with a typical loan ticket size of Rs. 2-10 lakh and an average ticket size of Rs. 3-5 lakh. Its loans are predominantly backed by self-occupied residential properties. As on June 30, 2026, the company had 856 branches across 11 states/Union Territories.

FSBFL was listed on the NSE and BSE in November 2022. As of June 2026, the individual promoters & promoter group (Mr. Lakshmiopathy Deenadayalan and his family) held 18.4% in the company, being the single largest shareholder.

Key Financial Indicators

Five-Star Business Finance Limited	FY2025	FY2026	Q1FY2027
Total income	2,855	3,229	832
Profit after tax	1072	1099	271
Total managed assets	14,614	16,033	16,075
Return on managed assets	8.1%	7.2%	6.8%
Gearing (managed; times)	1.3	1.1	1.0
Gross stage 3	1.8%	3.4%	3.5%
CRAR	50.1%	51.9%	51.3%

Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. crore

Status of non-cooperation with previous CRA: Not applicable

Any other information: Five-Star Business Finance Limited is rated by ICRA and its rating was never migrated to speculative / default category in the past. The current rating rationale of the originator, available at this [link](#).

Rating history for past three years

Current rating (FY2026)				Chronology of rating history for the past 3 years					
Trust name	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026	Date & rating in FY2025		Date & rating in FY2024	Date & rating in FY2023
				September 30, 2026	September 23, 2025	September 09, 2024	August 28, 2024	-	-
Dhruva XXII	PTC Series A1	200.00	100.63	[ICRA]AAA(SO)	[ICRA]AAA(SO)	[ICRA]AAA(SO)	Provisional [ICRA]AAA(SO)	-	-

Current rating (FY2026)				Chronology of rating history for the past 3 years					
Trust name	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026	Date & rating in FY2025		Date & rating in FY2024	Date & rating in FY2023
				September 30, 2026	September 16, 2025	September 18, 2024	September 11, 2024	-	-
Dhruva XXIII	PTC Series A1	90.00	0.00	[ICRA]AAA(SO); withdrawn	[ICRA]AAA(SO)	[ICRA]AAA(SO)	Provisional [ICRA]AAA(SO)	-	-
	PTC Series A2	60.00	39.21	[ICRA]AAA(SO)	[ICRA]AAA(SO)	[ICRA]AAA(SO)	Provisional [ICRA]AAA(SO)	-	-

Complexity level of the rated instrument

Trust name	Instrument	Complexity Indicator
Dhruva XXII	PTC Series A1	Highly Complex

Dhruva XXIII	PTC Series A1	Highly Complex
	PTC Series A2	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click Here](#)

Annexure I: Instrument details

ISIN No.	Trust Name	Instrument	Date of Issuance / Sanction	Coupon Rate (p.a.p.m.)	Maturity Date	Amount Rated (Rs. crore)	Current Rating	Financial sector regulator#
INE139015015	Dhruva XXII	PTC Series A1	August 29, 2024	9.50%	March 24, 2030	100.63	[ICRA]AAA(SO)	RBI\$
INE14ZT15017	Dhruva XXIII	PTC Series A1	September 11, 2024	9.25%	July 15, 2030	0.00	[ICRA]AAA(SO); withdrawn	RBI\$
INE14ZT15025		PTC Series A2	September 11, 2024	9.50%	July 15, 2030	39.21	[ICRA]AAA(SO)	RBI\$

Source: Company

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Annexure II: List of entities considered for consolidated analysis

Not Applicable

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About ICRA Limited:

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Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

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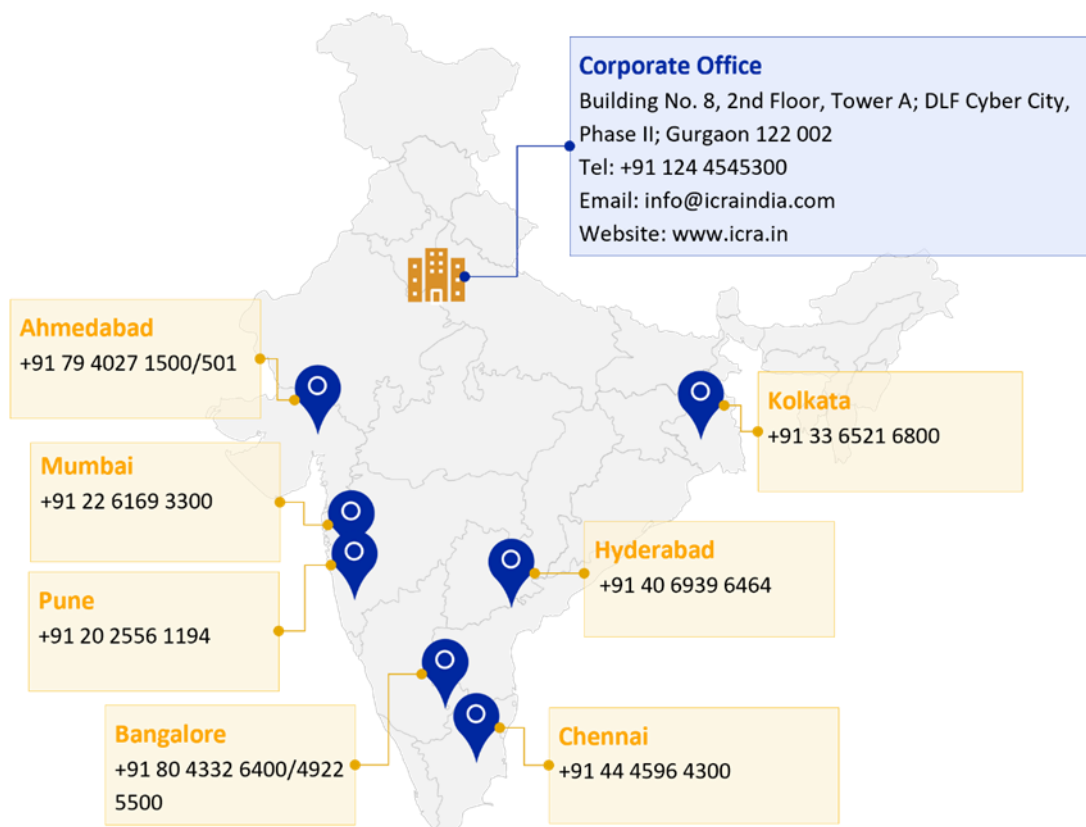


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